

STRICTLY PRIVATE: Project Titan – Acquisition Due Diligence

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1. Executive Summary

This report summarizes the financial due diligence for the proposed 100% acquisition of FinTech-Delta, a digital lending startup. The acquisition is intended to bolster the Bank's MSME (Micro, Small, and Medium Enterprises) portfolio.

2. Valuation Framework

- **Agreed Enterprise Value: INR 450 Crore.**
- **Payment Structure: 60% Upfront Cash, 40% Equity-linked earn-outs over 24 months.**

3. Risk Findings & Valuation Adjustments

During the audit of FinTech-Delta's books, several "Shadow Liabilities" were discovered in their unsecured credit card segment.

- **The 'Haircut' Requirement:** Due to a high non-performing asset (NPA) ratio of 7.5% in the target's sub-prime portfolio, our risk committee recommends a 15% valuation haircut on the total purchase price unless these liabilities are cleared by the closing date.
- **Adjusted Purchase Price:** If the haircut is applied, the revised valuation stands at INR 382.5 Crore.

4. Integration & Governance

- **Platform Migration:** A mandatory condition of the merger is the full migration of FinTech-Delta's 1.2 million customer records to the Sentinel GraphRAG Governance Platform by September 30, 2026.
- **Compliance Lock:** No new loans can be issued by the Delta entity post-acquisition until their credit scoring algorithm is harmonized with our *Internal Liquidity Risk Thresholds*.